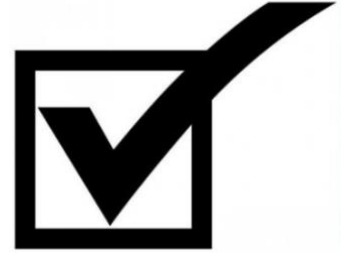




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



COLLEGE ACCOUNTING (105)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (68 points)

Depreciation Schedules _____ (54 points)

Equity Transactions _____ (64 points)

TOTAL POINTS _____ (***216 points***)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

- | | | |
|------|-------|-------|
| 1. B | 6. A | 11. D |
| 2. C | 7. C | 12. C |
| 3. C | 8. D | 13. D |
| 4. C | 9. A | 14. A |
| 5. B | 10. A | 15. B |

Short Answer (Grader: For journal entries, each account is worth one point and each amount is worth 1 point; each non-journal entry answer is worth 2 points)

1. On November 13, 2021, Cubs Company borrowed \$40,000 from White Sox Company and gave a 90-day, 12% note.

a) What is the appropriate accruing entry made on December 31, 2021? **(4 points)**

Interest Expense	640	
Interest Payable		640

b) What is the appropriate entry to record payment of the note at maturity? **(8 points)**

Note Payable	40,000	
Interest Payable	640	
Interest Expense	560	
Cash		41,200

2. For \$11,100,000, Rockies, Inc. purchased another company's land, building, and equipment. Independent appraisals indicate the values of these assets as follows: land, \$1,830,000; building, \$7,320,000; and equipment, \$3,050,000. How much should be recorded as the acquisition cost of each asset? **(2 points each; 6 points total)**

Land **\$1,665,000**

Building **\$6,660,000**

Equipment **\$2,775,000**

3. On January 1, 2015, Rangers Company purchased a machine for \$46,800. Rangers uses straight-line depreciation and estimates an eight-year useful life and an \$3,600 salvage value. On December 31, 2020, Rangers sells the machine for \$28,000. How should Rangers record this transaction? **(8 points)**

Accumulated Depreciation	32,400	
Cash	28,000	
Gain		13,600
Machine		46,800

4. Place an **X** in the appropriate column to indicate whether the item listed is a capital expenditure or a revenue expenditure. **(2 points each, 14 points total)**

	<u>Capital Expenditure</u>	<u>Revenue Expenditure</u>
a. Cost of a new desk for vice president's office.	<u>X</u>	<u></u>
b. Cost of regular maintenance to factory equipment	<u></u>	<u>X</u>
c. Cost of a new engine for a company truck.	<u>X</u>	<u></u>
d. Cost of fixing chair of sales manager.	<u></u>	<u>X</u>
e. Cost of a new keyboard (estimated useful life of 4 years) for company controller.	<u></u>	<u>X</u>
f. Cost of new air conditioning in company headquarters	<u>X</u>	<u></u>
g. Cost of annual carpet cleaning service.	<u></u>	<u>X</u>

5. Marlins Company sold goods for which it received total cash payments of \$285,200. A 6% sales tax was included in the total cash payments. What amount of liability should be recorded as a result of this transaction? **(2 points)**

\$17,112

6. During May, 2021, Brewer Corporation announced a 3-for-1 forward stock split on its 25,792,000 shares with a \$1.80 par value. After this split, how many shares will be outstanding and what will the par value be? **(2 points each; 4 points total)**

Shares Outstanding **77,376,000**

Par Value **\$0.60**

7. On July 1, 2022, Red Sox Services issued \$50,000 of 10% bonds that mature in five years. They were issued at 98.5. The bonds pay semiannual interest payments on June 30 and December 31 of each year using the straight-line amortization method.

a) Were the bonds issued at a discount, premium, or face value? **(2 points)** Discount

b) Record the entry to issue the bonds. **(6 points)**

Cash	49,250	
Discount on Bonds Payable	750	
Bonds Payable		50,000

c) Record the entry for the first interest payment in December 31, 2022. **(6 points)**

Interest Expense	2,575	
Discount on Bonds Payable		75
Cash		2,500

d) What is the carrying value of the bonds after the first interest payment is made? **(2 points)**

49,325

e) Record the retirement of the bonds at maturity, after the last interest payment has been made. **(4 points)**

Bonds Payable	50,000	
Cash		50,000

f) What is the total cost of borrowing? **(2 points)** **\$25,750**

Problem 1 (1 point each box; 54 points total)

On July 1, 2022, Rangers Corp. purchased a new machine for \$75,000. The machine has an estimated useful life of five years (or 238,000 cutting operations), after which the expected salvage value is \$3,600.

Prepare the depreciation records for each of the following methods.

Straight-line			
Year	Annual Depreciation Expense	Accumulated Depreciation	Net Book Value
2022	7,140	7,140	67,860
2023	14,280	21,420	53,580
2024	14,280	35,700	39,300
2025	14,280	49,980	25,020
2026	14,280	64,260	10,740
2027	7,140	71,400	3,600
Double-declining balance			
2022	15,000	15,000	60,000
2023	24,000	39,000	36,000
2024	14,400	53,400	21,600
2025	8,640	62,040	12,960
2026	5,184	67,224	7,776
2027	4,176	71,400	3,600

Units-of-production				
Year	Cutting Operations	Annual Depreciation Expense	Accumulated Depreciation	Net Book Value
2022	25,000	7,500	7,500	67,500
2023	80,000	24,000	31,500	43,500
2024	65,000	19,500	51,000	24,000
2025	45,000	13,500	64,500	10,500
2026	15,000	4,500	69,000	6,000
2027	8,000	2,400	71,400	3,600

Problem 2 (64 points) Grader – 2 points for each account, amount, and answer

On December 31, 2020, Orioles Corp had 50,000 shares of common stock outstanding, and 10,000 shares of 6% preferred stock outstanding. Orioles, Inc. engaged in the following transactions involving its common stock during 2021:

- Feb. 2 Issued 10,000 shares of \$1 par value common stock at \$40 cash per share, and 5,000 shares of \$100 par value preferred stock at \$120 cash per share.
- May 1 Purchased back 4,000 shares of common stock at \$50 cash per share.
- July 1 Declared dividends of \$150,000, payable to on August 1 to shareholders of record as of July 15.
- Sept. 1 Resold 1,000 shares of treasury stock at \$56 cash per share.

- a) How much were the dividends per share of Common Stock? **\$1.07**
- b) How much were the dividends per share of the Preferred Stock? **\$6.00**
- c) Prepare general journal entries to record these transactions.

General Journal			
Date	Account	Debit	Credit
Feb.2	Cash	1,000,000	
	Common Stock		10,000
	Paid-in-Capital in Excess of Par – Common		390,000
	Preferred Stock		500,000
	Paid-in-Capital in Excess of Par – Preferred		100,000
May 1	Treasury Stock	200,000	
	Cash		200,000
July 1	Cash Dividends – Preferred	90,000	
	Cash Dividends – Common	60,000	
	Dividends Payable		150,000
Aug. 1	Dividends Payable	150,000	
	Cash		150,000
Sept. 1	Cash	56,000	
	Treasury Stock		50,000
	Additional Paid-in Capital – Treasury		6,000